

Pell Grants and Enrollment Status

Pell Grant enrollment status for term-based programs

In a term-based program, academic progress is always measured in credit hours, and the student’s annual award depends on their enrollment status. Your school’s standards for enrollment status must meet the minimum regulatory requirements, which are discussed in further detail in *Volume 1, Chapter 1* of the FSA Handbook.

For standard terms in undergraduate programs, the minimum enrollment standards are:

Full-time:	12 semester hours per semester/trimester 12 quarter hours per quarter
3/4-time:	9 semester hours per semester/trimester 9 quarter hours per quarter
1/2-time:	6 semester hours per semester/trimester 6 quarter hours per quarter
Less-than-1/2-time:	less than half of the workload of the minimum full-time requirement.

If the student is enrolled full time, then the annual award is the Scheduled Award, which is based on the full-time payment schedule. If the student is attending part time, you must use the three-quarter-time, half-time, or less-than-half-time payment schedules, depending on the number of credit hours in which the student enrolls.

On the appropriate full-time or part-time payment schedules, use the student’s COA and EFC to find the Pell Grant annual award at that enrollment status. Most student aid software programs will do this for you automatically, but you can also refer to the Pell Grant payment schedules online on the Knowledge Center.

If the student is enrolled less than half time, it will also affect the cost components that are used in the student’s budget (see *Volume 3, Chapter 2*). Note that schools do not have the discretion to refuse to pay an eligible part-time student, including during a summer term or intersession.

Pell Grant enrollment status for clock-hour or nonterm-based programs

Students enrolled in clock-hour or non-term-based programs are considered to be enrolled full-time for Pell Grant purposes. See *Chapter 4* of this volume for additional discussion of enrollment status for clock-hour and nonterm-based programs.

Pell Grant enrollment status for a consortium program

The enrollment status of a student attending more than one school under a consortium agreement is based on all the courses taken that apply to the degree or certificate at the home school. The disbursing school may have to make some adjustments if the coursework at the other school is measured in different units.

Below are examples of calculating enrollment status for students enrolled in regular coursework at their home institution and coursework offered at another institution through a consortium agreement. The examples describe how to calculate enrollment when the units of enrollment are different (i.e., semester hours at the home school and quarter hours at the

consortium institution).

Example 1: Quarter hours converted to semester hours

A student is taking six **semester** hours at their home school and nine **quarter** hours at a different school under a consortium agreement. To determine their enrollment status, the home school needs to convert the hours at the host school into **semester** hours.

Because a quarter hour is about two-thirds of a semester hour, the home school multiplies the number of quarter hours by two-thirds:

$$9 \text{ quarter hours} \times \frac{2}{3} = 6 \text{ semester hours}$$

Then the hours taken at both schools can be added together:

$$6 \text{ semester hours (home school)} + 6 \text{ semester hours (host school)} = 12 \text{ semester hours}$$

Example 2: Semester hours converted to quarter hours

A student is taking nine **quarter** hours at their home institution and six **semester** hours at a different institution. To determine their enrollment status, the home school needs to convert the hours at the host school into **quarter** hours.

Because a semester hour is about one and one-half of a quarter hour, the home school multiplies the number of semester hours by 1.5:

$$6 \text{ semester hours} \times 1.5 = 9 \text{ quarter hours}$$

Then, the hours taken at both schools can be added together:

$$9 \text{ quarter hours (home school)} + 9 \text{ quarter hours (host school)} = 18 \text{ quarter hours}$$

Students enrolled in only correspondence courses

Students enrolled in programs of correspondence study are considered to be no more than half-time students, even if they are enrolled in enough coursework to be full time. However, if the correspondence study is combined with regular coursework, the student's enrollment status might be more than half time (see section below for additional information).

A student enrolled only in a non-term correspondence program always has their award calculated based on the half-time payment schedule. For a student enrolled in a term-based correspondence program, your school must determine whether the student is enrolled half time (six or more credit-hours in a term) or less than half time (fewer than six credit-hours in a term). Special rules are used to determine the student's enrollment status when the student is enrolled in a combination of regular and correspondence coursework.

Students enrolled in a combination of regular and correspondence courses

If a student is enrolled in a non-correspondence study program, but correspondence coursework is combined with regular coursework, the correspondence courses must meet the following criteria to be included in the student's enrollment status:

- The courses must apply toward the student's degree or certificate or must be remedial work to help the student in their course of study.
- The courses must be completed during the period required for the student's regular coursework (e.g., a term).
- The amount of correspondence work counted can't be more than the number of credit hours of regular coursework in which the student is enrolled (although a student taking at least a half-time load of correspondence courses must be paid as at least a half-time student, regardless of the credit-hours of regular coursework).

A student will be paid as a less-than-half-time student for any combination of regular and correspondence work that is less than six credit-hours or the appropriate equivalent of half-time.

This chart assumes that the school defines full-time enrollment as 12 credit hours per term, and half-time enrollment as six credit hours per term.

Regular Work	Correspondence Work	Adjusted Total Coursework	Enrollment Status
3	3	6	Half-time
3	6	6	Half-time
3	9	6	Half-time
6	3	9	Three-quarter-time
6	6	12	Full-time
2	6	6	Half-time

As you can see in the second and third rows of the table, the number of correspondence hours counted in the total course load was adjusted so that the correspondence hours never exceeded the regular hours taken. Note that in the last row of the table, the student is eligible for payment based on half-time enrollment in correspondence courses, because not all the correspondence work can be counted toward enrollment status.

Determining enrollment status using credit hour equivalencies

For students enrolled in direct assessment programs and students with intellectual disabilities enrolled in comprehensive transition and postsecondary (CTP) programs, enrollment status can be calculated using credit hour “equivalencies” rather than credit hours.

For direct assessment programs, schools must develop a methodology, consistent with the requirements of the school’s accrediting agency or state, to reasonably equate each class or competency in the direct assessment program to either credit hour or clock hour equivalencies. For more information, see *Volume 2, Chapter 2* of the *FSA Handbook*.

Enrollment status for students with intellectual disabilities enrolled in CTP programs may also be determined using credit hour equivalencies. These equivalent credits, earned from audited courses and other normally noncredit activities undertaken as part of a program for students with disabilities, may be awarded for purposes of determining enrollment status. For more detail, see *Volume 1, Chapter 1* of the *FSA Handbook*.

Enrollment status for cooperative education

In a cooperative education program, your school assesses the work to be performed by the student and determines the equivalent academic course load. The student’s enrollment status is based on the equivalent academic course load.

Academic calendar and enrollment status changes

Because the academic calendar for a program determines which Pell formula you use, you need to review the conditions for the use of each formula if the calendar for the program changes. This is particularly true if you are using Formulas 1 and 2, which have the most restrictive conditions.

If a student’s enrollment status changes during the year, your school may have to recalculate the student’s Pell Grant

payment based on the new enrollment status. We'll discuss when a school is required to recalculate a student's Pell Grant payment due to a change in enrollment status in *Chapter 7* of this volume.

Enrollment status changes

[34 CFR 690.80\(b\)](#)

Pell Grant Cost of Attendance

The types of costs included in the Pell Grant budget are the same as those for the other FSA programs; however, Pell Grant costs are always based on the costs for a **full-time student for a full academic year**.

For Pell, costs for programs or enrollment periods longer or shorter than an academic year must be prorated so that they are the costs for one full academic year. This is true for both parts of the academic year definition: if either the number of weeks or the number of clock/credit hours differs from the academic year standard, the costs must be prorated to determine the full-time, full-year Pell budget.

The need to prorate Pell costs is most likely to occur in these situations:

- A term-based program that provides fewer weeks of instructional time than the minimum number of weeks of instructional time in an academic year;
- A non-term program that provides less than 24 semester hours, 36 quarter hours, or 900 clock hours and/or provides fewer weeks of instructional time than the minimum number of weeks of instructional time in an academic year; or
- A program that is longer than an academic year, where the costs for the entire program are charged at the beginning of the program.

There are two ways to prorate Pell costs, as shown in the following examples. Pell Grant Cost Examples 1 and 2 are based on a program that is shorter than an academic year. Pell Grant Cost Example 3 shows how costs are prorated when they are charged for a program that is longer than an academic year. Note that prorating the COA usually does not affect the amount of Pell Grant the student receives. However, you're required to report the full-time, full-year Pell budget when reporting disbursements to COD.

Pell Grant Cost Example 1: Prorating total costs by lesser of two fractions

You may take the student's entire COA (tuition and fees, housing and food, etc.) and multiply it by the lesser of the two fractions that represent the length of the academic year. If the lesser fraction is one, then you don't prorate the COA. One fraction is based on credit or clock hours and the other is based on weeks of instructional time, as shown in this example.

Let's use the example of a program that charges \$10,500, awards 18 semester credits, and is completed by most full-time students within 20 weeks of instructional time.

Credit/clock hours in academic year definition (24) ÷ Credit/clock hours awarded (18)

OR

Weeks in academic year definition (30) ÷ Weeks provided (20)

Since the fraction using credit hours is the lesser fraction, the program cost of \$10,500 is multiplied by 24/18 to find the full-year Pell cost.

$$\$10,500 \times 24/18 = \$14,000$$

The full-time cost is \$14,000.

Note: If one of the fractions is equal to one, for instance, if the program awards 24 credit hours, then the prorated cost is the same as the original COA.

Pell Grant Cost Example 2: Prorating academic costs and living expenses separately

As an alternative, you can separately prorate the costs associated with credit or clock hours (tuition and fees, books and supplies, loan fees) and the costs associated with weeks of instructional time (housing and food, miscellaneous expenses, disability expenses, transportation, dependent care, study abroad, reasonable costs associated with employment as part of a cooperative education program). Using our earlier example of a program lasting 20 weeks and awarding 18 credit hours, and specifying that the student's tuition, books, supplies, etc., come to \$4,500 and living expenses amount to \$6,000, the calculation would look like this:

$$\$4,500 \times (24 \text{ credit hours} \div 18 \text{ credit hours}) = \$6,000$$

$$\$6,000 \times (30 \text{ weeks} \div 20 \text{ weeks}) = \$9,000$$

In this example, the student's Pell budget is the sum of the two prorated costs, or \$15,000.

Pell Grant Cost Example 3: Prorating costs for a non-term program longer than an academic year

You must also prorate costs if they are charged for a period longer than an academic year. You may use either of the proration methods shown in Examples 1 and 2. We'll use the example of a program awarding 1,000 clock hours and providing 40 weeks of instructional time. Let's assume that the school uses the regulatory minimums and defines the academic year as 900 clock hours and 26 weeks. The total costs over the 40 weeks, including tuition and living expenses, are \$5,900. If we use the method in Example 1, this amount must be prorated by the lesser of the following two fractions:

$$(\text{Credit/clock hours in academic year definition} = 900) \div (\text{Credit/clock hours awarded} = 1,000)$$

OR

$$(\text{Weeks in academic year definition} = 26) \div (\text{Weeks provided} = 40)$$

The lesser of the two fractions is the one based on weeks (26/40). Multiply the total program cost by this fraction to determine the Pell costs for a full academic year: $\$5,900 \times 26/40 = \$3,835$. If the student is in a category where costs are limited, such as less-than-half-time enrollment, those costs that are allowable must be based on costs for a full-time student for a full academic year. For instance, the tuition component of the Pell COA for a less-than-half-time student must be based on the tuition costs that would be incurred by a full-time student attending a full academic year.

Pell Grant Cost Example 4: Pell Grant awards and COA with mixed enrollment status

A student plans to attend for a fall and spring semester. In the fall term, the student attends full time, and has a COA of \$8,000 and an EFC of zero. The student's Scheduled Award is taken from the full-time Pell Grant Payment Schedule for the fall semester, with the calculated amount being \$7,395. The school disburses the fall semester Pell award of \$3,698.

In the spring semester, the student drops to less-than-half-time enrollment status. The COA is also reduced, as less-than-half-time enrollment means that not all the previously included COA elements may be included in the student's Spring COA used for Pell calculation. The student's EFC remains at zero. The school may not include in

the student's spring COA for Pell calculation miscellaneous personal expenses or room and board if the student has exhausted their less-than-half-time housing and food allowance (three semesters or equivalent in total, no more than two of which may be consecutive at any one school).

The school now consults the less-than-half-time Pell payment and disbursement schedule and finds the amount for an EFC of zero and the reduced COA, \$6,000. The result is \$1,513, which the school divides in half for the spring semester disbursement, resulting in a spring payment to the student of \$757. These awards are also subject to the Pell Lifetime Eligibility Used limits (LEU).

Pell Grant cost of attendance for cooperative education

If a student has a co-op job for the first term, the tuition and fees for that period can be prorated over the full academic year for the program (which must include at least 24 semester/trimester hours, 36 quarter credit hours, or 900 clock hours, as well as 30 weeks of instructional time, or, for clock-hour programs, 26 weeks). This prorated amount is then added to the other COA components to arrive at the total cost for a full-time student for a full academic year.

For the rest of the year, your school can either use the COA with the projected amount or can recalculate the student's tuition and fees at the end of the first term to determine a new COA for the remaining payment periods. This decision must be consistent with your school's overall policy on recalculating for changes in a student's costs. Note that the COA can also include employment-related expenses.

Pell Grant cost of attendance for a consortium program

A student receiving a Pell Grant for attendance at two schools through a consortium agreement may have costs from both schools at the same time. The student's COA is calculated in the same way as for a student taking classes at only one school. The student's charges for tuition and fees and books and supplies at the consortium schools must be combined into a single charge for a full academic year for purposes of the Pell calculation.

The school paying the student may choose to use actual charges for the student, which would simply be the sum of the actual charges at each school. Of course, if the student isn't attending full-time, your school will have to prorate these tuition and fees and books and supplies charges so that they are the correct amounts for a full-time, full-year student.

If the disbursing school uses average charges, then the average full-time charges at each of the schools must be prorated and combined. If the student is taking a full-time load at each school, the full-time tuition and fees charges for an academic year at each school can be averaged to determine the tuition and fee cost. However, if the student is taking an unequal course load, the disbursing school must prorate the charges based on the number of hours the student is taking at each school.